

Finance, Financial Economics and Capital Markets

A note to students: This assessment is not testing whether you know financial formulas or can recall definitions from a textbook. It is designed to understand how you think about money, risk, investment decisions, and markets. Students who are genuinely well suited for Finance at university level tend to be curious about why markets move, how businesses decide where to invest their money, and why the same investment can look attractive to one person and unattractive to another. Read each scenario carefully, think it through, and choose the answer that makes the most financial sense to you.

Section 1: Financial Foundations

Q1. A relative offers to give you Rs. 50,000 today or Rs. 50,000 exactly two years from now. Assuming no personal cash emergency, which option is financially more valuable and why?

A) Both options are equally valuable because the amount is identical B) The future amount is more valuable because waiting is rewarded in finance C) The amount today is more valuable because money available now can be invested and grow over the two years D) The choice depends entirely on whether inflation exists in the economy at that time

Q2. A student saves Rs. 5,000 every month and keeps it in a tin at home. A classmate saves the same amount but puts it into an account that earns interest each year. After ten years, who is likely to have more money, and what principle explains the difference?

A) Both will have the same amount because they saved identical sums each month B) The student with the account, because returns earned over time themselves generate further returns C) The student with the tin, because bank accounts carry the risk of bank failure D) It depends entirely on what the money was originally intended for

Q3. Two investment options are available. Option A offers a near-certain return of 6% per year. Option B offers an expected return of 14% per year but carries a significant chance of losing money in any given year. A student concludes that Option B is always the better choice because the expected return is higher. What is the most important flaw in this conclusion?

A) Expected returns above 10% are not achievable in real financial markets B) Higher expected returns almost always come with higher risk, and whether that trade-off is acceptable depends on the investor's financial situation and ability to absorb losses C) Option A must be a government bond and is therefore always preferable for all investors D) The conclusion is correct because higher expected returns always justify the additional risk

Q4. A student has Rs. 1,00,000 and is deciding between putting it into a fixed deposit earning 7% per year or investing it in her cousin's new business that might return 20% but might also fail entirely. She chooses the fixed deposit. A friend says she made the wrong choice because the business offered a higher return. What is the most financially sound response to the friend's argument?

A) The friend is correct because maximising expected return should always be the primary financial goal B) The fixed deposit was the wrong choice only if the student has other savings she could afford to lose C) The student's choice reflects a reasonable assessment of risk: the certain 7% may be more appropriate than a chance of 20% alongside a chance of losing everything, depending on her circumstances D) Fixed deposits are never the right choice for young people because the returns are too low to build wealth

Q5. A student argues that keeping money in a savings account with a 4% annual interest rate is always safe and sensible. An economics teacher challenges this view by pointing out that inflation is currently running at 6% per year. What is the teacher's concern?

A) Savings accounts are not protected by law and therefore carry hidden risks B) Even though the nominal balance is growing, the real purchasing power of the money is actually declining because prices are rising faster than the interest being earned C) A 4% interest rate is simply too low to be offered by any reputable bank D) Inflation only affects people who do not save, so the savings account holder has nothing to worry about

Section 2: Investments and Capital Markets

Q6. An investor puts all her savings into shares of a single company she believes in strongly. A financial adviser warns her against this approach even though her confidence in the company is genuine. What is the most financially sound basis for the adviser's concern?

A) Investing in companies you believe in is always a poor financial strategy B) No matter how strong a company appears, concentrating all savings in one investment means a single unexpected event could destroy the entire portfolio, whereas spreading investments reduces this risk C) The adviser is being overly cautious and high conviction investments always outperform diversified ones D) The concern is only valid if the company is small, since large companies never fail

Q7. Two investors hold the same stocks. When the market falls sharply, Investor A sells everything immediately to avoid further losses. Investor B holds her positions and continues investing monthly at the lower prices. Historically, which behaviour tends to produce better long-term outcomes, and why?

A) Investor A, because protecting capital by selling during downturns is the foundation of sound investing B) Both approaches produce similar long-term results because markets always return to the same level eventually C) Investor B, because selling during a downturn locks in losses, while continuing to invest at lower prices can significantly improve long-term returns when markets recover D) Investor A, because the money raised by selling can always be reinvested at a better time later

Q8. A government bond promises to pay a fixed amount every year for ten years and then return the original investment. A share in a company offers no guaranteed payments but gives the holder a claim on the company's future profits. An investor trying to choose between them asks which carries more risk. What is the most accurate answer?

A) The bond is riskier because it ties up money for a longer period B) The share is generally riskier because its returns depend on uncertain future performance, while the bond offers predictable payments, though both carry some degree of risk C) Both are equally risky because all financial instruments carry the same level of uncertainty D) The share is risk-free because companies are legally required to pay dividends to shareholders

Q9. A company announces results that are strong by any historical measure, but its share price falls immediately after the announcement. A student is confused because the news seems positive. What is the most likely explanation for this reaction?

A) Financial markets always fall when companies report profits because investors prefer predictability B) Markets had already anticipated strong results and priced them in beforehand, so the announcement failed to exceed what investors were already expecting C) Share prices are determined by accounting rules and cannot respond to news announcements D) The fall must have been caused by unrelated selling by large investors who needed cash

Q10. A student notices that whenever one stock in her portfolio falls, another tends to rise. She finds this frustrating because her gains and losses seem to cancel each other out. Her finance teacher tells her this is actually a desirable feature of her portfolio. Why?

A) Cancelling out gains and losses is the definition of a successful long-term investment strategy B) Assets that move in opposite directions reduce the overall volatility of a portfolio, meaning the investor is exposed to less risk without necessarily sacrificing average returns C) This pattern proves that the two stocks are in the same industry and should be replaced D) The teacher is incorrect because all stocks in a portfolio should ideally move in the same direction to maximise gains

Section 3: Corporate Finance and Business Decisions

Q11. A profitable company is considering two uses for its surplus cash: paying dividends to shareholders or reinvesting the money to build a new factory. What is the most important financial question the company should answer before making this decision?

A) Whether the shareholders are likely to complain if dividends are not paid this year B) Whether the expected return from the new factory is higher than what shareholders could earn by investing the dividend money themselves elsewhere C) Whether the factory will be large enough to justify the accounting costs of managing a bigger business D) Whether the company's competitors have recently built factories of a similar kind

Q12. A startup needs Rs. 2 crore to launch. The founders are choosing between borrowing from a bank at 11% annual interest or giving up 30% of the company to an investor in exchange for the funding. What is the key financial trade-off they are navigating?

A) Debt is always cheaper than giving up ownership because interest rates are predictable B) Borrowing requires fixed repayments regardless of how the business performs, while giving up ownership costs nothing if the business fails but becomes very expensive if it succeeds greatly

C) Giving up 30% ownership is always the better choice for a startup because banks do not lend to new businesses D) The decision depends entirely on how quickly the founders expect to repay the bank

Q13. A retailer is considering whether to open a new store in a city where market research suggests strong demand. The projected annual profit from the store is Rs. 18,00,000. However, the investment required to set it up is Rs. 2,00,00,000. Is this investment automatically attractive?

A) Yes, because any investment that generates profit is worth making B) Yes, because Rs. 18,00,000 in annual profit is a large absolute number for a single store C) Not necessarily, because the return of 9% on the investment needs to be compared against the cost of the capital used and alternative uses for that money before concluding it creates value D) No, because retail investments always carry too much risk to be financially justified

Q14. A company's share price has tripled over three years. A financial analyst cautions that this alone is not sufficient reason to invest today. What is the strongest basis for the analyst's caution?

A) Share prices that rise quickly always fall just as quickly, making recent winners poor investments B) Past price performance tells us what has already happened but gives no reliable indication of whether the current price is reasonable relative to the company's actual prospects and earnings C) Analysts are professionally obligated to discourage retail investors from buying shares D) A tripling in price means the company is now too large to grow further

Q15. Two companies in the same industry report identical revenue and profit figures. Company A has financed its operations almost entirely with its own capital. Company B has borrowed heavily to fund its growth. A credit analyst views Company B as carrying significantly more risk. What is the most accurate basis for this view?

A) Borrowed money is always more expensive than using a company's own capital B) Company B is legally required to pay interest and repay principal regardless of business conditions, meaning a downturn could threaten its survival in a way it would not threaten Company A C) Companies that borrow money are signalling to the market that they cannot generate profits organically D) The analyst is incorrect because identical profits indicate identical financial health regardless of how those profits were financed

Section 4: Financial Economics and Analytical Reasoning

Q16. A central bank announces that it is raising interest rates significantly to control inflation. Within hours, share prices across the stock market fall. A student asks why a change in interest rates affects share prices at all. What is the most accurate explanation?

A) Higher interest rates make shares more attractive and investors therefore sell bonds to buy shares B) Higher interest rates increase the cost of borrowing for businesses, reduce consumer spending, and make safer interest-bearing investments more competitive relative to shares, all

of which reduce the attractiveness of equities C) Central banks directly instruct stock markets to fall when interest rates rise D) Share prices and interest rates are unrelated, so the timing was coincidental

Q17. A developing country discovers large oil reserves. Initially, economists celebrate. Within a decade, however, the country's non-oil industries have declined, corruption has increased, and most citizens remain poor despite the nation's rising export revenues. What does this situation most usefully illustrate about wealth and economic development?

A) Natural resources always create prosperity and any problems are temporary B) The presence of valuable resources guarantees neither broad-based development nor good governance, and how a society manages and distributes resource wealth matters enormously C) Oil revenues should always be distributed directly to citizens as cash payments D) This outcome proves that developing countries should avoid exploiting natural resources entirely

Q18. An investor is offered a choice between receiving Rs. 10,00,000 with certainty and taking a 50% chance of receiving Rs. 25,00,000 or nothing. The mathematically expected value of the gamble is Rs. 12,50,000, which is higher than the certain amount. Yet many financially informed people would choose the certain Rs. 10,00,000. What principle best explains this preference?

A) Financially informed people avoid all situations involving probability B) Most people are risk-averse: the psychological and financial pain of receiving nothing outweighs the potential gain from the higher amount, making the certain option more attractive despite its lower expected value C) The certain option must always be chosen because probability calculations are unreliable in practice D) The preference is irrational and reflects a failure to understand basic mathematics

Q19. A finance student argues that if everyone has access to the same information about a company, it should be impossible to consistently earn returns higher than the market average by analysing that company's publicly available data. A classmate disagrees and points to investors who have beaten the market for decades. What does this debate most directly reflect?

A) That financial markets are completely random and no analysis of any kind has value B) That the relationship between available information, prices, and the possibility of superior returns is genuinely contested in finance, and understanding the conditions under which markets are or are not efficient is a central question in the field C) That the student is correct and no investor has ever genuinely outperformed the market on a sustained basis D) That markets are always inefficient and careful analysis always produces above-average returns

Q20. A government announces a major subsidy for electric vehicles, guaranteeing lower prices for buyers over the next five years. Within days, shares in companies that supply components for electric vehicles rise sharply, while shares in petrol station operators fall. No other news has been released. What does this most directly illustrate about how financial markets function?

A) That markets react emotionally and irrationally to government announcements B) That financial markets rapidly process new information and adjust the prices of affected assets to

reflect the changed outlook for future earnings across related industries C) That share prices are determined by government policy rather than by supply and demand among investors D) That investors in component suppliers received advance notice of the announcement before it was made public

Answer Key and Explanations

Question	Correct Answer
Q1	C
Q2	B
Q3	B
Q4	C
Q5	B
Q6	B
Q7	C
Q8	B
Q9	B
Q10	B
Q11	B
Q12	B
Q13	C
Q14	B
Q15	B
Q16	B
Q17	B
Q18	B
Q19	B
Q20	B

Q1. Answer: C The time value of money holds that a sum available today is worth more than the same sum in the future because it can be put to work immediately through investment or saving. Waiting two years without compensation represents a real financial cost.

Q2. Answer: B This illustrates the principle of compounding, where returns earned in one period themselves generate returns in subsequent periods. Over long timeframes, this effect becomes the most powerful force in wealth creation, far outpacing simple saving without investment.

Q3. Answer: B The risk-return relationship is foundational in finance. Higher expected returns are the compensation investors demand for accepting greater uncertainty. Whether that compensation is sufficient depends on each investor's circumstances, time horizon, and capacity to absorb potential losses.

Q4. Answer: C Sound financial decision-making is not about maximising the highest possible number but about choosing the option that best fits the investor's risk tolerance and financial situation. A certain 7% is not automatically inferior to an uncertain 20% when the downside of the riskier option is total loss.

Q5. Answer: B Real return is what matters in finance, not nominal return. When inflation exceeds the interest rate earned, the saver's purchasing power falls each year despite the account balance growing. This is the silent cost of keeping money in low-yield instruments during high-inflation periods.

Q6. Answer: B Concentration risk is one of the most fundamental dangers in investing. Even genuinely strong companies can be affected by unexpected events, regulatory changes, or industry disruptions. Spreading investments across multiple assets reduces the impact of any single failure on the overall portfolio.

Q7. Answer: C Selling during a downturn converts paper losses into permanent ones and removes the investor from the market precisely when future returns tend to be highest. Continuing to invest during falling markets means acquiring more units at lower prices, which improves average cost and long-term returns when recovery occurs.

Q8. Answer: B Bonds offer contractually fixed payments, making their returns more predictable, while shares offer residual claims on profits that depend on uncertain future business performance. Both carry some risk, but the nature and magnitude of that risk differ significantly between the two instruments.

Q9. Answer: B Markets are forward-looking and prices reflect expectations, not just current facts. When strong results were already anticipated and priced in, even genuinely good news can disappoint if it fails to exceed what the market had already factored into the share price.

Q10. Answer: B When assets move in opposite directions, they have low or negative correlation. Combining such assets reduces the overall volatility of a portfolio without

necessarily reducing average returns, which is the core insight behind diversification as a risk management tool.

Q11. Answer: B The central question in dividend versus reinvestment decisions is whether the company can deploy the capital more productively than shareholders could on their own. If the factory's expected return exceeds shareholders' alternative opportunities, reinvestment creates more value. If not, returning the cash is the better decision.

Q12. Answer: B Debt financing requires fixed payments regardless of business performance, creating risk in bad times but preserving full ownership upside in good times. Equity financing eliminates repayment pressure but permanently dilutes the founders' share of future value, which becomes very costly if the business succeeds significantly.

Q13. Answer: C An investment must be evaluated against its cost of capital, not just its absolute profit. A 9% return sounds reasonable in isolation but may destroy value if the funds could have been used elsewhere at higher returns or if the cost of borrowing to fund the investment exceeds 9%.

Q14. Answer: B Past price appreciation tells us what investors were willing to pay previously, not whether the current price is justified by the company's earnings potential and prospects. Investing based purely on recent price gains ignores the fundamental question of whether the asset is currently priced attractively.

Q15. Answer: B Financial leverage amplifies both gains and losses. When a company carries significant debt, its fixed obligations remain regardless of revenue fluctuations, meaning a downturn that a debt-free company could absorb might push the heavily borrowed company into financial distress or insolvency.

Q16. Answer: B Interest rates affect equity valuations through multiple channels simultaneously: higher borrowing costs reduce corporate profits, reduced consumer spending lowers revenue expectations, and more attractive yields on bonds and deposits draw capital away from equities, all combining to reduce the price investors are willing to pay for shares.

Q17. Answer: B The pattern described is sometimes called the resource curse. The existence of valuable natural wealth does not automatically translate into broad development, as it can crowd out other industries, create incentives for rent-seeking rather than productive activity, and concentrate power and income without improving general living standards.

Q18. Answer: B Risk aversion is a well-documented feature of human decision-making under uncertainty. Most people weigh potential losses more heavily than equivalent potential gains, which means the psychological cost of the worst outcome, receiving nothing, outweighs the mathematical attractiveness of the higher expected value.

Q19. Answer: B The efficient market hypothesis and its limits are genuinely debated in academic finance and investment practice. The question of whether markets systematically incorporate all available information and whether sustained outperformance is possible or

merely reflects luck or unmeasured risk is one of the field's most enduring and practically important arguments.

Q20. Answer: B Financial markets function as continuous information-processing systems. When new information changes the expected future earnings of a business or an industry, investors rapidly revise their valuations and prices adjust accordingly. The speed and breadth of the reaction in this scenario illustrates how efficiently markets can transmit and price the implications of new developments across related sectors